My firm has always given me a lot of latitude, which allowed me to stretch my boundaries. While it was uncomfortable, it helped me learn how to make and lose money without being scared of doing either. I learned by trading a lot all the time. I traded more than anyone else at the firm. That is how I got my feel for stocks. I really felt them. I felt, *Oh, something has changed. I don't know what it is, but something has changed*. I really trusted that feeling. What was interesting to me early in my career was that I would get a thought about what would happen, and then be surprised when it did happen. It always appeared on the screen to me. It always showed itself to me. A stock reveals itself to me when something changes.

**How do you see it?**

It's a sense I've developed, and I have learned to trust that sense. I think I have spent as much time in front of screens watching the nature of stocks as anyone else in the business. Because I have watched these same symbols for almost 15 years, they almost take on a life of their own.

**Can you give me an example of what you mean by sense?**

I'll give you a great example. Tyco went from being one of the favorites on Wall Street to one of the Wall Street disasters in a very short order of time. I started buying at $34, and in a few days it went straight down to $18. My average price was around $23. I was long 750,000 shares and down about $5 million on the trade. I remember my boss coming over to my desk and asking, "Jimmy, what are you doing?" I said, "Don, I'll take care of it. I know what I am doing." No one was talking, because everyone knew the size of my position. I took over the entire desk position on the stock.

Even though the stock was collapsing, I really believed, "This is my opportunity." I don't remember the exact price, but I said to myself if it went below that price, I would have to start liquidating. It literally traded right at that price and stopped going down. At that point, I had a sense that something had changed. I didn't sell a share until the price was $1.50 above my average price, which happened that same day. I sold one-third of my position that day, and the next day I sold the rest of the position